Student's Name: ……

Arusha Regional Annual Examination December 2022

PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
ARUSHA REGION
FORM ONE ANNUAL EXAMINATION
BOOK KEEPING

Time: 2:30 Hours **06th DECEMBER 2022**

Instructions

1. This paper consists of **sections A, B,** and **C** with a total of **nine (9)** questions.
2. All writing must be written in **blue or black ink.**
3. All communication devices and calculators are **not** allowed in the examination room

SECTION A (15 Marks)

Answer ALL questions in this section

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1. For each of the following questions (i) to (x), choose the most correct answer and write its letter in the boxes provided below.

i. A document used to deposit money into bank account is called;
A. A cheque B. Payment voucher C. Pay-in-slip D. An invoice

ii. Which one of the following is an example of non-current assets?
A. Machineries, plant and equipment B. Sales, purchases and loan to Jolene
C. Rent, discounts and carriages D. Cash, cash at bank, trade debtors and stocks

iii. Goods returned by customers are firstly recorded in the;
A. Return inwards journal B. Return outwards journal C. Sales journal D. Cash book

iv. Payment items of small nature such as stationeries, wages, refreshments, postage, transport charges etc. are recorded in a;
B. Petty cash book B. Single column cash book
C. Double column cash book D. Three column cash book

v. Which among the following accounts is sometimes having debit and credit balances;
A. Bank B. Capital C. Bank overdraft D. Cash

vi. An accounting equation is connected with;
A. Assets only B. Assets, capital and liabilities
C. Assets and liabilities only D. Capital and liabilities only

vii. Which of the following is not objective of studying book-keeping?
A. Business control B. Knowledge credit dealing
C. Determination of profit or loss D. Transportation of goods

viii. The credit side of a cash book is used to;
A. Record amount received in the business B. Record amount of capital
C. Record amount paid out of the business D. Recording amount of goods sold or bought on credit

ix. Proprietor's personal accounts are found in the;
A. Purchases Ledger B. Sales ledger C. Private Ledger. D. General ledger

x. The final stage in the accounting cycle is;
A. Analyzing source documents B. Preparing double entry accounts
C. Preparing financial statements D. Preparing journals

Question	i	ii	iii	iv	v	vi	vii	viii	ix	x
Answer										

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2. Match the items in ***Column A*** with the responses in ***Column B*** by writing the letter of the correct response in the boxes provided below;

Column A	**Column B**
i. A deal between two or more parties that involve a transfer of goods or services for a consideration called price. ii. A deal that involves prompt settlement of a consideration. iii. A deal that involves settlement of a consideration after sometimes. iv. A person in a deal who transfers goods or services and receives consideration after sometimes. v. A person in a deal who receives goods or services and pays consideration after sometimes.	A. Business. B. A company. C. Creditors. D. Credit transaction. E. Business transaction. F. Cash transaction. G. Debtors.

Column A	i	ii	iii	iv	v
Column B					

SECTION B (40 Marks) Answer all questions in this section

3. With examples where necessary write short notes on the following book keeping terminologies:
   (a) Real accounts
   ……
   ……
   ……
   ……
   (b) Personal accounts
   ……
   ……
   ……
   ……
   (c) Nominal accounts
   ……
   ……
   ……
   ……
   (d) Nominal ledger
   ……
   ……
   ……
   ……
   (e) Sales ledger
   ……
   ……
   ……
   ……
4. Record keeping is done by following some key guidelines. Briefly explain any five (5) key guidelines you know.
   (i) _____
   (ii) _____
   (iii)_____
   (iv)_____
   (v) _____

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5. For the following transactions state the accounts to be debited and credited;

Transactions	**Debited**	**Credited**
i. Goods sold to Majaliwa Plc. on credit are returned due to unsuitability.		
ii. Butcher purchases new Fridge, paying by cheque.		
iii. Baker sends chocolate back to Azizi Ki Plc. the original supplier, due to them being expired.		
iv. Fast food outlet sells snacks for cash.		
v. Local shop sells beer on credit to E Saba Plc.		

6. Study careful the table below and use it to calculate the following figures; **Working Capital, Borrowed Capital, Current Ratio, Net assets and Capital Employed** for **BabuKaju Plc.** for the year 2020.

Details	**TZS**
Non-current assets	920,000
Non-current liabilities	400,000
Current assets	779,000
Current liabilities	100,000

SECTION C (45 Marks) Answer all questions in this section

7. The following is statement of financial position as at 31st December 2020 for Taiga Cement Ltd.

Particulars	**TZS**	**TZS**
Non-current assets		
Premises		375,000
Office equipment		55,670
Current assets		
Cash in hand	54,500	
Trade debtors	684,000	
Stock	210,000	948,500
Total Assets		**1,379,170**
Capital and liabilities		
Capital		553,500
Liabilities		
Long-term liabilities		
Loan from CRDB		180,000
Current liabilities		
Balance at bank	190,670	
Trade creditors	455,000	645,670
Total capital and liabilities		**1,379,170**

The following transactions took place in January 2021;

2021 January 2 Paid TZS 10,000 cash to CRDB to settle part of the loan amount.
10 Sold stocks worth TZS 120,000 for TZS 150,000 by cheque.
15 Bought extra stocks for TZS 60,000 on credit.
20 Sold goods worth TZS 20,000 for TZS 30,000 on credit. 30 Bought extra equipment in cash for TZS 2,000.

REQUIRED;

Prepare a new statement of financial position as at 31st January 2021.

8. Show the journal entries necessary to record the following items:

2021 Apr Bought fixtures on credit from Kangaroo Plc. TZS 11,530.
1
4 We take goods costing TZS 3,400 out of the business stock without paying for them for family consumptions.
12 Ngami Plc. owes us TZS 6,400. He is unable to pay his debt. We agree to take some computer equipment from him at that value and so cancel the debt.
18 Some of the fixtures bought from Kangaroo Plc. TZS 420 worth, are found to be unsuitable and are returned to them for full allowance.
24 Some fixtures were sold on credit to Kimble Plc. at an agreed consideration of TZS 1,240.
27 We paid a cheque of TZS 3,000 to Papa Plc. out of private funds.
30 Office equipment bought by cheque for TZS 17,100.

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9. From the following trial balance of ***Manzoni Boutique***; identify mistakes committed and redraft a new version after all errors have been rectified. Assume suspense account will have a zero balance.

TRIAL BALANCE AS AT 30TH SEPTEMBER 2017 **TZS**			
S/No.	***NAME OF ACCOUNT***	***DEBIT***	***CREDIT***
1.	Opening stock	100,000	
2.	Salaries	60,000	
3.	Trade creditors	132,000	
4.	Loan to Baker	35,000	
5.	Purchases	348,000	
6.	Loan from NMB	60,000	
7.	Trade Debtors	45,000	
8.	Cash		15,000
9.	Capital		187,000
10.	Bank		12,000
11.	Trade expenses		18,000
12.	Sales		377,000
13.	Building		123,000
14.	Closing stock		115,500
15.	Suspense	67,500	
TOTAL		**847,500**	**847,500**